

HSU Ke Cheng (Clio) 許可證

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BUSINESS ADDRESS

Department of Economics, 5067 Lee Shau Kee Business Building
The Hong Kong University of Science and Technology, Clear Water Bay, Kowloon, Hong Kong

DESIRED RESEARCH AND TEACHING FIELDS

Industrial Organization Theory, Empirical Industrial Organization
Field of concentration: IO Theory and Empirical IO

EDUCATION

Hong Kong University of Science and Technology

Ph.D. in Economics	2022 – 2027 (expected)
M.Phil. in Economics	2020 – 2022
B.Sc. in Mathematics and Economics (Minor in Actuarial Mathematics)	2015 – 2019

WORKING PAPERS

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- “Designing Return Policy in E-Commerce: Ex-ante Purchases and Ex-post Returns” (*Job Market Paper*)
Abstract: Return shipping insurance encourages more purchases by reimbursing return shipping, but it can also induce excessive returns. Because insurance changes both who purchases and the return probability of each purchase, it changes the price the seller charges, and high prices associated with stricter refund rules can exclude socially valuable buyers. We study a mid-sized women’s clothing retailer on Taobao that repeatedly switches between retailers’ return shipping insurance (RI), provided automatically, and consumers’ return shipping insurance (CI), purchased optionally. Within products, RI is associated with lower prices and higher return rates. We estimate a structural model of purchase, insurance, and return decisions under monopoly pricing across six apparel categories and evaluate return-penalty discount (RPD), which pairs a discounted price with stricter refund terms. Even when returns are made efficient, monopoly pricing leaves about 25% to 30% of first-best welfare unrealized because too few consumers purchase. In baseline counterfactuals, RI attains the highest welfare for dresses, where valuable additional purchases outweigh additional returns, whereas CI dominates RI in thinner-margin categories. Full-forfeiture RPD, under which returning buyers forfeit the discounted payment, reduces returns but excludes valuable buyers. It nonetheless outperforms both insurance policies outside dresses. Partial-forfeiture RPD with re-

stocking fees of 10% to 15% improves this tradeoff and, for dresses, restores much of what full forfeiture loses, though it remains below RI. When policy cannot be tailored to category margins and return losses, partial-forfeiture RPD is a practical default.

- “Product Design with Heterogeneous Search Costs”, MPhil thesis, with AU Pak Hung

Abstract: Building on Wolinsky’s (1986) sequential search model with differentiated products, this paper introduces search cost heterogeneity to analyze how firms leverage observable product designs to influence consumer search behavior. In equilibrium, consumers’ search patterns form a partitioned structure: those with low search costs tend to seek niche products, while consumers facing higher search costs gravitate toward standardized products. In the case of two product designs, a reduction in search costs may lead to higher prices for both if the endogenous shift in consumer search modes—the composition effect—dominates the search-encouraging effect. Additionally, we demonstrate that prices respond asymmetrically to decreases in search costs based on the relative position within the distribution where the shock occurs.

WORK IN PROGRESS

- “Too Much Unsold Stock?: Environmental Consequences of Price Commitment”, with Kohei Kawaguchi and Kei Kawai

PROFESSIONAL EXPERIENCE

Research

Research Assistant for Prof. Benjamin Bernard, National Taiwan University	2020
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Teaching

Lecturer, Math Camp for MSc in Economics, HKUST	2026
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Teaching Assistant Coordinator, Business School, HKUST	2025 – 2026
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Teaching Assistant, Department of Economics, HKUST	2020 – 2025
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ECON2123 – Macroeconomics
 ECON4114 – Industrial Organization & Competitive Strategy
 ECON4134 – Economics of Uncertainty and Information
 ECON5210 – Microeconomic Theory I
 ECON5220 – Microeconomic Theory II

Presentations (* for scheduled)

APIOC 2026*; 2026 Econometric Society Australasia Meeting (ESAM 2026)*;
 HKUST Business School PhD Conference; CEP Brownbag in HKUST;
 APIOC 2023; AMES 2023 NTU Singapore

FELLOWSHIPS AND AWARDS

Red Bird PhD Award	2022
Postgraduate Studentship from the HKUST	2020 – present
Research Travel Grant	2020
Academic Achievement Medal	2019
University Scholarship (730K HKD)	2015 – 2019

SKILLS

Technical Skills: R, Python, C++, $\LaTeX$, AWS

Languages: English (fluent), Mandarin (native), Cantonese (basic)

REFERENCES (THESIS SUPERVISION COMMITTEE)

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Kei Kawai

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